Chapter Outline

LEARNING OBJECTIVES

LO 1 Identify the activities and users associated with accounting.	• Three activities • Who uses accounting data
LO 2 Explain the building blocks of accounting: ethics, principles, and assumptions.	• Ethics • GAAP • Measurement principles • Assumptions
LO 3 State the accounting equation, and define its components.	• Assets • Liabilities • Owner's equity
LO 4 Analyze the effects of business transactions on the accounting equation.	• Accounting transactions • Transaction analysis • Summary of transactions
LO 5 Describe the four financial statements and how they are prepared.	• Income statement • Owner's equity statement • Balance sheet • Statement of cash flows

Accounting

Accounting is an information systems that-

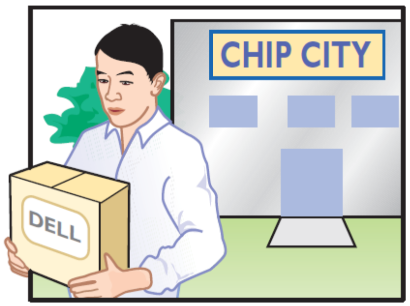
- **Identifies economic events**
- **Records economic events and**
- **Communicates financial information**

to interested users for taking economic decisions.

Three Activities

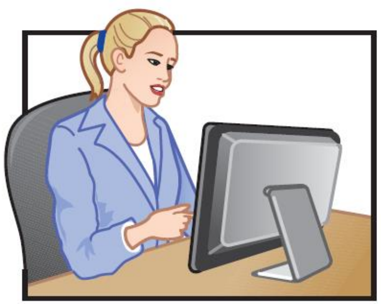
Illustration 1-1
The activities of the accounting process

Identification



Select economic events (transactions)

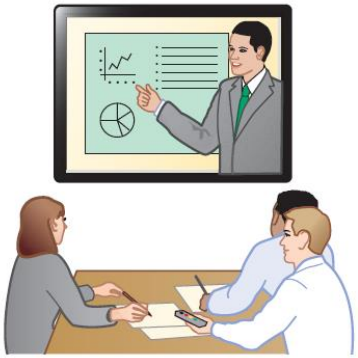
Recording



Record, classify, and summarize

Communication

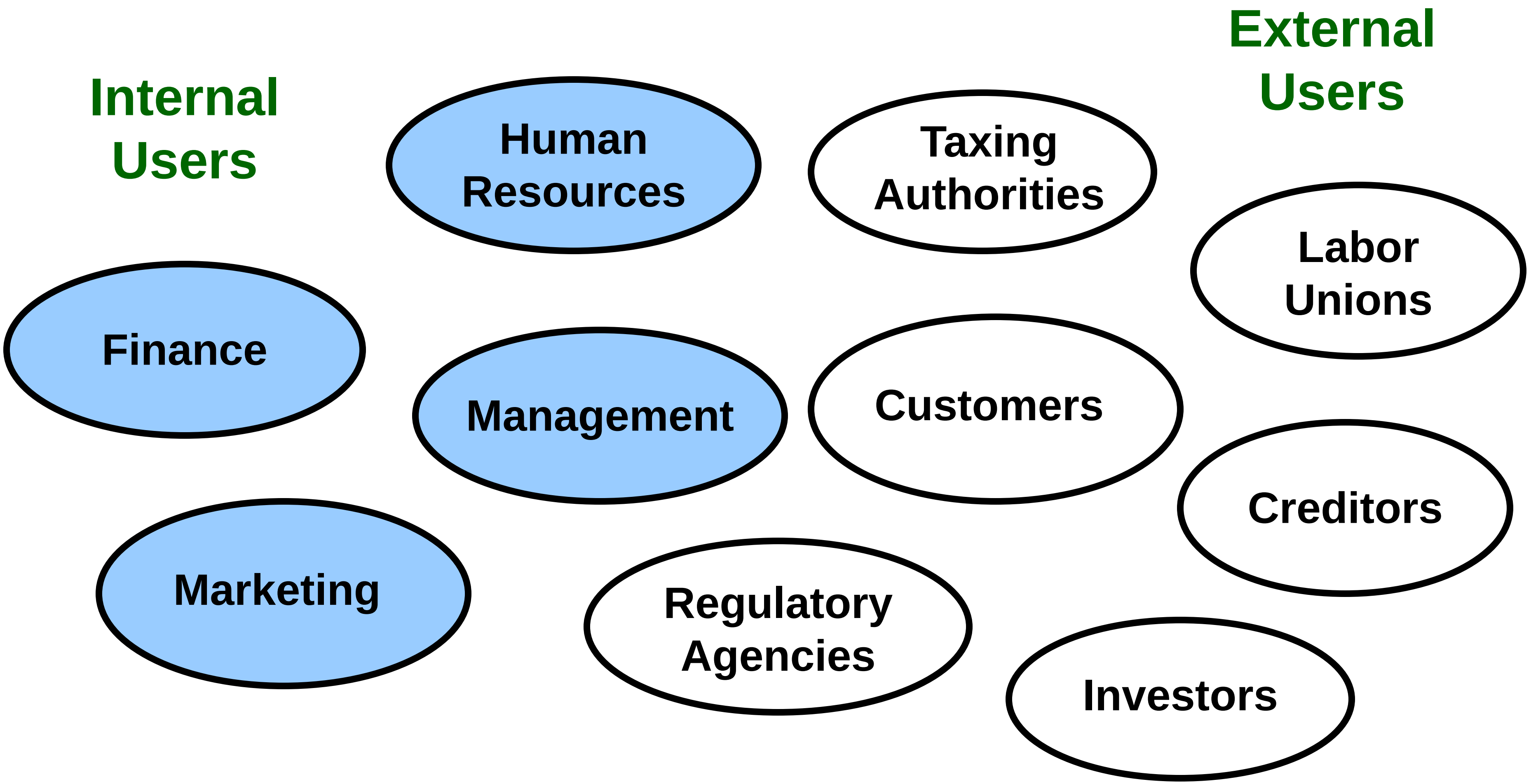
Prepare accounting reports



Analyze and interpret for users

The accounting process includes the **bookkeeping** function.

Who Uses Accounting Data



LO 2 Identify the users and uses of accounting.

Questions Asked by Internal Users

Finance

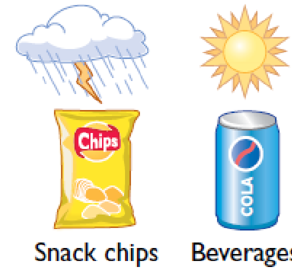
Is cash sufficient to pay dividends to Microsoft stockholders?

Marketing

What price should Apple charge for an iPad to maximize the company's net income?

Human Resources

Can General Motors afford to give its employees pay raises this year?



Management

Which PepsiCo product line is the most profitable? Should any product lines be eliminated?

Questions Asked by Internal Users

Finance

Is cash sufficient to pay dividends to Microsoft stockholders?

Marketing

What price should Apple charge for an iPad to maximize the company's net income?

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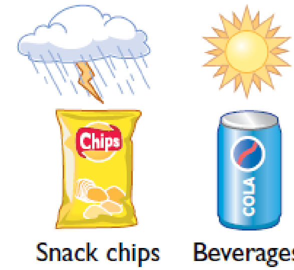
Can General Motors afford to give its employees pay raises this year?



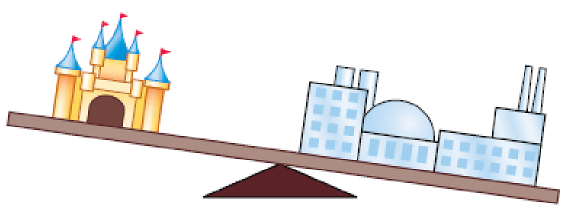
Management

Which PepsiCo product line is the most profitable? Should any product lines be eliminated?

Questions Asked by External Users

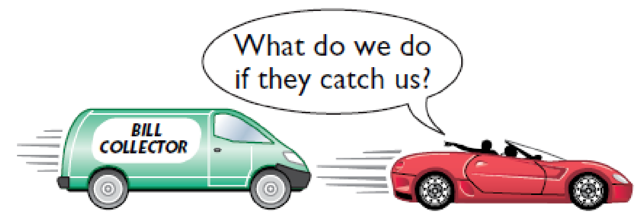
Investors

Is General Electric earning satisfactory income?



Investors

How does Disney compare in size and profitability with Time Warner?



Creditors

Will United Airlines be able to pay its debts as they come due?

DO IT! 1 Basic Concepts

Indicate whether the following statements are **true or false**.

1. The three steps in the accounting process are identification, recording, and communication.
2. Bookkeeping encompasses all steps in the accounting process.
3. Accountants prepare, but do not interpret, financial reports.
4. The two most common types of external users are investors and company officers.
5. Managerial accounting activities focus on reports for internal users.

Solution: 1. True 2. False 3. False 4. False 5. True

The Building Blocks of Accounting

Accounting Standards

International Accounting Standards Board (IASB)
http://www.iasb.org/

International Financial Reporting Standards (IFRS)

Financial Accounting Standards Board (FASB)
http://www.fasb.org/

Generally Accepted Accounting Principles (GAAP)

The Building Blocks of Accounting

Measurement Principles

Cost Principle – or historical cost principle, dictates that companies record assets at their cost.

Fair Value Principle – states that assets and liabilities should be reported at fair value (the price received to sell an asset or settle a liability).

The Building Blocks of Accounting

Assumptions

Monetary Unit – include in the accounting records only transaction data that can be expressed in money terms.

Economic Entity – requires that activities of the entity be kept separate and distinct from the activities of its owner and all other economic entities.

- **Proprietorship.**
- **Partnership.**
- **Corporation.**

Forms of Business Ownership

Forms of Business Ownership

Proprietorship

- Owned by one person
- Owner is often manager/operator
- Owner receives any profits, suffers any losses, and is personally liable for all debts

Partnership

- Owned by two or more persons
- Often retail and service-type businesses
- Generally unlimited personal liability
- Partnership agreement

Corporation

- Ownership divided into shares of stock
- Separate legal entity organized under state corporation law
- Limited liability

Assumptions

Question

Combining the activities of Kellogg and General Mills would violate the -

a. cost principle.

b. economic entity assumption.

c. monetary unit assumption.

d. ethics principle.

LEARNING OBJECTIVE 3

State the accounting equation, and define its components.

Assets	=	Liabilities	+	Owner's Equity

Basic Accounting Equation

- Provides the **underlying framework** for recording and summarizing economic events.
- Assets are claimed by either creditors or owners.
- If a business is liquidated, claims of creditors must be paid before ownership claims.

Basic Accounting Equation

Assets	=	Liabilities	+	Owner's Equity

Assets

- Resources a business owns.
- Provide future services or benefits.

e.g. Cash, Supplies, Equipment, etc.

Basic Accounting Equation

Assets	=	Liabilities	+	Owner's Equity

Liabilities

- Present obligation, arises from past transactions, settlement in future
- Claims against assets (debts and obligations).
- Creditors (party to whom money is owed).

e.g. Accounts Payable, Notes Payable, Salaries and Wages Payable, etc.

Basic Accounting Equation

Assets	=	Liabilities	+	Owner's Equity

Owner's Equity

- Ownership claim on total assets.
- Referred to as residual equity.
- Investment by owners and revenues (+)
- Drawings and expenses (-).

Owner's Equity

Illustration 1-6
Expanded accounting equation

Basic Equation	Assets = Liabilities	+	Owner's Equity							
Expanded Equation	Assets = Liabilities	+	Owner's Capital	−	Owner's Drawings	+	Revenues	−	Expenses	

Increases in Owner's Equity

- **Investments by owner** are the assets the owner puts into the business.
- **Revenues** result from business activities entered into for the purpose of earning income.
  - **Common sources of revenue** are: sales, fees, services, commissions, interest, dividends, royalties, and rent.

Owner's Equity

Illustration 1-6
Expanded accounting equation

Basic Equation	Assets = Liabilities	+	Owner's Equity						
Expanded Equation	Assets = Liabilities	+	Owner's Capital	−	Owner's Drawings	+	Revenues	−	Expenses

Decreases in Owner's Equity

- **Drawings** An owner may withdraw cash or other assets for personal use.
- **Expenses** are the cost of assets consumed or services used in the process of earning revenue.
  - **Common expenses** are: salaries expense, rent expense, utilities expense, tax expense, etc.

DO IT! 3 Owner's Equity Effects

Classify the following items as investment by owner, owner's drawings, revenue, or expenses. Then indicate whether each item increases or decreases owner's equity.

	Classification	Effect on Equity
1. Rent Expense		
2. Service Revenue		
3. Drawings		
4. Salaries and Wages Expense		

LEARNING OBJECTIVE 4

Analyze the effects of business transactions on the accounting equation.

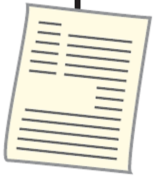
Transactions are a business's economic events recorded by accountants.

- Not all activities represent transactions.
- Each transaction has a dual effect on the accounting equation.

Transaction Analysis

Illustration: Are the following events recorded in the accounting records?

Illustration 1-7

Event	Purchase computer	Discuss product design with potential customer	Pay rent
Criterion	Is the financial position (assets, liabilities, or owner's equity) of the company changed?		
Record/ Don't Record	**Yes**	**No**	**Yes**
			

Transaction Analysis

TRANSACTION 1. Ray Neal decides to start a smartphone app development company which he names Softbyte. On September 1, 2017, he invests **$15,000 cash** in the business. This transaction results in an equal increase in assets and owner's equity.

	Assets							= Liabilities +		Owner's Equity							
Trans-action	Cash	+	Accounts Receivable	+	Supplies	+	Equipment	=	Accounts Payable	+	Owner's Capital	-	Owner's Drawings	+	Rev.	-	Exp.
1.	+15,000										+15,000						

Illustration 1-8
Tabular summary of
Softbyte transactions

TRANSACTION 2. Softbyte Inc. purchases computer equipment for **$7,000 cash**.

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Trans-action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					

TRANSACTION 3. Softbyte Inc. **purchases for $1,600** headsets and other accessories expected to last several months. The supplier allows Softbyte to pay this bill in October.

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Trans-action	**Cash**	**+ Accounts Receivable**	**+ Supplies**	**+ Equipment**	**= Accounts Payable**	**+ Owner's Capital**	**- Owner's Drawings**	**+ Rev.**	**- Exp.**
1.	**+15,000**					**+15,000**			
2.	**-7,000**			**+7,000**					
3.			**+1,600**		**+1,600**				

TRANSACTION 4. Softbyte Inc. receives **$1,200 cash** from customers for app development services it has performed.

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Trans-action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	

TRANSACTION 5. Softbyte Inc. receives a **bill for $250** from the *Daily News* for advertising on its online website but postpones payment until a later date.

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Transaction	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250

TRANSACTION 6. Softbyte performs **$3,500 of services**. The company receives **cash of $1,500** from customers, and it bills the balance of **$2,000 on account**.

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Trans-action	Cash +	Accounts Receivable +	Supplies +	Equipment =	Accounts Payable +	Owner's Capital -	Owner's Drawings +	Rev. -	Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250
6.	+1,500	+2,000						+3,500	

TRANSACTION 7. Softbyte Inc. pays the following expenses in cash for September: office rent **$600**, salaries and wages of employees **$900**, and utilities **$200**.

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Transaction	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250
6.	+1,500	+2,000						+3,500	
7.	-1,700								-600
									-900
									-200

TRANSACTION 8. Softbyte Inc. **pays its $250** *Daily News* bill in cash. The company previously (in Transaction 5) recorded the bill as an increase in Accounts Payable.

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Trans-action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250
6.	+1,500	+2,000						+3,500	
7.	-1,700								-600
									-900
									-200
8.	-250				-250				

TRANSACTION 9. Softbyte Inc. **receives $600 in cash** from customers who had been billed for services (in Transaction 6).

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Trans-action	**Cash**	**+ Accounts Receivable**	**+ Supplies**	**+ Equipment**	**= Accounts Payable**	**+ Owner's Capital**	**- Owner's Drawings**	**+ Rev.**	**- Exp.**
1.	**+15,000**					**+15,000**			
2.	**-7,000**			**+7,000**					
3.			**+1,600**		**+1,600**				
4.	**+1,200**							**+1,200**	
5.					**+250**				**-250**
6.	**+1,500**	**+2,000**						**+3,500**	
7.	**-1,700**								**-600** **-900** **-200**
8.	**-250**				**-250**				
9.	**+600**	**-600**							

TRANSACTION 10. Ray Neal withdraws **$1,300 in cash** in cash from the business for his personal use.

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Trans-action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250
6.	+1,500	+2,000						+3,500	
7.	-1,700								-600 -900 -200
8.	-250				-250				
9.	+600	-600							
10.	-1,300						-1,300		

$$\underbrace{\hspace{6em}}_{\$18,050} \qquad \underbrace{\hspace{6em}}_{\$18,050}$$

Summary of Transactions

1. Each transaction is analyzed in terms of its effect on:
   a. The three components of the basic accounting equation.
   b. Specific of items within each component.
2. The two sides of the equation must always be equal.

DO IT! 4 Tabular Analysis

Transactions made by Virmari & Co., a public accounting firm, for the month of August are shown below. Prepare a tabular analysis which shows the effects of these transactions on the expanded accounting equation, similar to that shown in Illustration 1-8.

1. The owner invested $25,000 cash in the business.
2. The company purchased $7,000 of office equipment on credit.
3. The company received $8,000 cash in exchange for services performed.
4. The company paid $850 for this month's rent.
5. The owner withdrew $1,000 cash for personal use.

DO IT! 4 Tabular Analysis

1. The owner invested $25,000 cash in the business.

	Assets		=	Liabilities +	Owner's Equity						
Trans-action	Cash	+ Equipment	=	Accounts Payable	+	Owner's Capital	+	Owner's Drawings	+ Rev.	-	Exp.
1.	+25,000					+25,000					

DO IT! 4 Tabular Analysis

2. The company purchased $7,000 of office equipment on credit.

	Assets			=	Liabilities +		Owner's Equity						
Trans-action	Cash	+	Equipment	=	Accounts Payable	+	Owner's Capital	+	Owner's Drawings	+	Rev.	-	Exp.
1.	+25,000						+25,000						
2.			+7,000		+7,000								

DO IT! 4 Tabular Analysis

3. **The company received $8,000 cash in exchange for services performed.**

	Assets			=	Liabilities +		Owner's Equity						
Trans-action	Cash	+	Equipment	=	Accounts Payable	+	Owner's Capital	+	Owner's Drawings	+	Rev.	-	Exp.
1.	+25,000						+25,000						
2.			+7,000		+7,000								
3.	+8,000										+8,000		

DO IT! 4

Tabular Analysis

4. The company paid $850 for this month's rent.

	Assets		=	Liabilities +	Owner's Equity			
Trans-action	Cash	+ Equipment	=	Accounts Payable	+ Owner's Capital	+ Owner's Drawings	+ Rev.	- Exp.
1.	+25,000				+25,000			
2.		+7,000		+7,000				
3.	+8,000						+8,000	
4.	-850							-850

DO IT! 4

Tabular Analysis

5. The owner withdrew $1,000 cash for personal use.

	Assets			=	Liabilities +		Owner's Equity						
Trans-action	Cash	+	Equipment	=	Accounts Payable	+	Owner's Capital	+	Owner's Drawings	+	Rev.	-	Exp.
1.	+25,000						+25,000						
2.			+7,000		+7,000								
3.	+8,000										+8,000		
4.	-850												-850
5.	-1,000								-1,000				
	$31,150	+	$7,000	=	$7,000	+	$25,000	+	$1,000	+	$8,000	-	$850

$38,150 $38,150

LEARNING OBJECTIVE 5

Describe the four financial statements and how they are prepared.

Companies prepare four financial statements :

- **Income Statement**
- **Owner's Equity Statement**
- **Balance Sheet**
- **Statement of Cash Flows**

Financial Statements

Question

Net income will result during a time period when:

a. assets exceed liabilities.

b. assets exceed revenues.

c. expenses exceed revenues.

d. revenues exceed expenses.

Financial Statements

Net income is needed to determine the ending balance in owner's equity.

SOFTBYTE
Income Statement
For the Month Ended September 30, 2017

Revenues		
Service revenue		$ 4,700
Expenses		
Salaries and wages expense	$900	
Rent expense	600	
Advertising expense	250	
Utilities expense	200	
Total expenses		1,950
Net income		**$ 2,750**

Illustration 1-9
Financial statements and their interrelationships

1

SOFTBYTE
Owner's Equity Statement
For the Month Ended September 30, 2017

Owner's capital, September 1		$ –0–
Add: Investments	$15,000	
Net income	**2,750**	17,750
		17,750
Less: Drawings		1,300
Owner's capital, September 30		**$16,450**

SOFTBYTE Owner's Equity Statement For the Month Ended September 30, 2017		
Owner's capital, September 1		$ –0–
Add: Investments	$15,000	
Net income	**2,750**	17,750
		17,750
Less: Drawings		1,300
Owner's capital, September 30		**$16,450**

SOFTBYTE Balance Sheet September 30, 2017	
Assets	
Cash	**$ 8,050**
Accounts receivable	1,400
Supplies	1,600
Equipment	7,000
Total assets	$ 18,050
Liabilities and Owner's Equity	
Liabilities	
Accounts payable	$ 1,600
Owner's equity	
Owner's capital	**16,450**
Total liabilities and owner's equity	$ 18,050

1

2

The ending balance in owner's equity is needed in preparing the balance sheet.

Illustration 1-9
Financial statements and their interrelationships

Financial Statements

Balance sheet and income statement are needed to prepare statement of cash flows.

SOFTBYTE
Balance Sheet
September 30, 2017

Assets		
Cash		$ 8,050
Accounts receivable		1,400
Supplies		1,600
Equipment		7,000
Total assets		$ 18,050
Liabilities and Owner's Equity		
Liabilities		
Accounts payable		$ 1,600
Owner's equity		
Owner's capital		16,450
Total liabilities and owner's equity		$ 18,050

SOFTBYTE
Statement of Cash Flows
For the Month Ended September 30, 2017

Cash flows from operating activities		
Cash receipts from revenues		$ 3,300
Cash payments for expenses		(1,950)
Net cash provided by operating activities		1,350
Cash flows from investing activities		
Purchase of equipment		(7,000)
Cash flows from financing activities		
Investments by owner	$15,000	
Drawings by owner	(1,300)	13,700
Net increase in cash		8,050
Cash at the beginning of the period		0
Cash at the end of the period		$ 8,050

2

3

Illustration 1-9
Financial statements and their interrelationships